

Chapter 13

THE ECONOMY

PERSPECTIVE

The first three years of the 1980s contained the most months of officially recognized economic contraction since the Great Depression bottomed out in March 1933. On November 8, 1982, right at the end of this period, *The Elliott Wave Theorist* announced on its front page, RECOVERY BEGINNING, commenting, "The stock market has given a powerful signal: the current very deep recession is ending." The January 10, 1983 issue announced RECOVERY UNDERWAY, which was amended to ECONOMIC BOOM on March 7. This forecast was based on one thing: an understanding of the *degree* of the upturn in the stock market. The start of a bull market of Cycle degree implied a long period of economic expansion. What indeed began the very next month was the longest uninterrupted economic expansion since 1961-1969.

This book is being published now because of the opposite expectation from that of 1982. Today, the long term pattern in the stock market emphatically indicates DEPRESSION AHEAD. When will it arrive? The signal will be the same as that of thirteen years ago: a change in the trend of the stock market. In mid-1982, the long term stock market pattern indicated RECOVERY AHEAD, but the actual start of the recovery was not signaled until stocks advanced on powerful upside momentum in August-October. The same concept is applicable today, in reverse. *The Elliott Wave Theorist* commented on this approach a decade ago, in December 1985:

We should keep the ultimate probability of an economic crash and financial calamity in mind, but it is still *too early* to prepare for it. Legions of super bears have warned of impending monetary collapse, imminent full-scale banking crises, and so forth for years. Although they continue to warn that such events could occur "out of the blue," "at any time," and "without warning," history shows that a substantial decline in the stock market has always provided an early warning to such conditions. As long as the stock market is trending upward, there is no reason to harbor such fears.